

3Q26 Preview – Taking Back the Narrative

April 20, 2026 02:19 PM GMT

Sentiment remains cautious due to capacity constraints/ allocation, Copilot and AI ROI. Our work suggests a shift in Copilot capabilities & adoption, leaving us positive on Microsoft's platform opportunity. Leading GenAI position remains underpriced at 20x CY27 EPS, framing an attractive R/R. OW

Key Takeaways

- Confident in high-30s cc Azure growth in Q3, supported by strong channel checks, improving GPU capacity and positive CIO survey data
- A 1pt beat to Q3 Azure growth guide & a strong Q4 Azure guide, plus positive commentary on capacity supply/allocation, Copilot & Capex, all key to MSFT shares
- Raising our capex estimates given higher component costs (i.e. memory). Durable AI demand strength keeps further upside risk to capex (and Azure) in forecasts
- Looking for signals of M365 Copilot momentum building on 15MM paid seats, w/ accelerating usage and improving adoption across the installed base
- At ~20x CY27 GAAP EPS, we believe MSFT shares fail to reflect durable high teens total return profile, underscoring the attractive risk/reward

Consistently Strong Demand, Lower Expectations and Shifting Copilot Narrative

Create More Attractive Setup into 3FQ26. Microsoft exited F2Q26 with clear evidence of durable commercial demand, yet investor focus remains centered on supply constraints and GPU allocation weighing on Azure growth and increasing concerns around Copilot's competitive positioning versus AI Labs. Last quarter, Microsoft delivered mid-teens revenue growth at scale with expanding operating margins, while forward indicators such as 110% YoY RPO growth (to ~\$625 billion) and 39% YoY cRPO growth point to continued strength across the commercial portfolio. Into F3Q26 results, Azure growth remains governed by capacity availability rather than demand. At the same time, Microsoft continues to invest aggressively in AI infrastructure, with capex skewed towards short-lived, near-term revenue generating assets (GPUs/CPUs). Importantly, capacity is not optimized solely for Azure, but instead allocated across a broader portfolio of AI workloads, including first party apps like M365 Copilot, GitHub Copilot, internal R&D / training, and more, adding complexity to the investor debate on AI capex ROI. With this dynamic now well understood, 39% cc Azure growth (1pt above the high end of guidance) will more clearly be seen as a positive - and this represents an achievable outcome, in our view. Further, an improving Copilot product can lead to improving sentiment and continued momentum on top of the new 15MM paid Copilot seat KPI

from last quarter, as Microsoft penetrates its broader installed base. Against this backdrop, the setup looks more favorable: Microsoft's execution within a supply-constrained environment, Azure and Copilot results providing evidence of yield on AI investments, and continued opex discipline driving YoY operating margin expansion despite lower gross margins are keys to pushing shares higher. We continue to see an attractive risk/reward for this GenAI leader, with valuation not fully reflecting the durability of demand and long-term AI monetization opportunity. Microsoft trades at ~20x our GAAP CY27 EPS of \$20.92. Remain OW.

Key Expectations into the Print: Execution Within Capacity Constraints Remains

Key. Last quarter's results were strong, with Microsoft exceeding consensus across all three segments and delivering ~1% total revenue upside, driven by Azure growth of 38% cc (ahead of guidance at ~37% cc). Importantly, the company paired this topline strength with gross margin outperformance (despite mix shift to Azure) and ~160 bps of YoY operating margin expansion. As mentioned, forward indicators also remained robust, with RPO (+110% YoY to ~\$625bn) and cRPO (+39% YoY) reinforcing durable commercial demand. **For Q3: Azure growth of ~39% in cc in Q3 with a low/mid 30% cc Q4 Azure guidance** likely good enough to get over the investor hurdle given capacity and allocation constraints. Further, the potential for high-single digit / low double-digit opex growth in Q3 and mid/high single-digit opex growth in FY26 should help offset gross margin compression and could help deliver high-teens operating income growth in FY26.

5 Areas We Are Monitoring Into the Print:

1) Testing the Durability of Azure: What is the Right Beat Factor for a Capacity-Driven Guide?

MS View: Our confidence in high-30%'s CC Azure growth in F3Q26 stems from consistently durable leadership position across our CIO survey data and strong channel checks, further supported by increasing AI compute capacity. The 39% cc investor bogey is achievable, and this 1pt beat vs. high-end of guidance would represent a strong outcome for MSFT shares. Looking ahead to FQ4 guidance, we expect guide to reflecting a mid-single digit deceleration from Q3 result toward the low-to-mid 30%'s in Q4, given the mid-single digit (4% point) tougher Azure growth comp last year.

Buyside: For 3QFY26, investors are looking for 39%+ growth in constant currency (cc), representing a 1% beat vs high-end of guidance at 37-38% cc, which is also impacted by a 4% tougher growth comp from last year. As mentioned, with a further 4pt tougher YoY compare for Azure growth in the June quarter, investors look for low/mid 30% growth guidance in cc, representing a moderate decel vs. FQ3 Azure growth.

Microsoft Remains at the Forefront of GenAI, Supported by Structural Cloud Transformation Tailwinds. Our 1Q26 CIO Survey (see [Well Positioned to Capture Incremental Cloud and GenAI Spend \(9 Apr 2026\)](#)) leaned positive on Software spending intentions, with CIOs expecting Software spending growth to accelerate to

+4.1% growth in 2026, +32 bps vs our 4Q25 reading, and above +3.8% in 2025. Within that positive software backdrop, Microsoft remains the best-positioned platform to benefit from improving demand, as CIOs once again viewed the company as the primary beneficiary of durable cloud transformation tailwinds and rising GenAI investments. **First**, as workloads shift to the cloud, Microsoft Azure remains the clearest beneficiary as the expected largest share gainer in 2026 and over the next three years. Microsoft also maintained strong positioning as the leading vendor for Infrastructure as a Service (IaaS), Platform as a Service (PaaS), and hybrid cloud environments. **Second**, in terms of AI spending intentions, CIOs expect Microsoft (namely Azure AI) to gain the largest incremental share of GenAI spending in 2026 and in the next three years, while CIOs see strong strategic positioning for Microsoft 365 Copilot and Copilot Studio within the category of Agentic Automation, which lends a foundation for agentic workflows. Microsoft is similarly the preferred vendor for building custom AI applications through Azure AI Foundry.

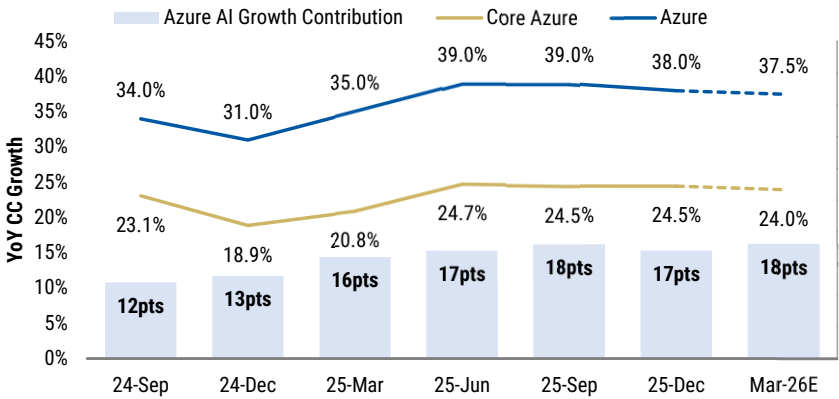
Partner Channel Discussions Again Point to Strong Azure Demand. Channel partners sounded positive on C1Q Azure results and the forward outlook. Per our conversations, Azure and AI-related practices again saw robust (and improving) momentum in the past few months, largely driven by cloud transformations and continued M365 traction with E3/E5 license upgrades. Microsoft's security tools continue to be key to license upgrades. Further, the recently announced E7 tier (see [The Next Step in Enterprise Agentic AI... Frontier Suite \(9 Mar 2026\)](#)) came up as an area of incremental interest for customers in the last few months, with the inclusion of the full Microsoft Entra Suite a potential needle-mover for some customers given incremental zero trust capabilities (namely identity and network access solutions) on top of the Entra ID P2 capabilities included in E5. Lastly, partners noted some pockets of improving Copilot adoption, though Copilot awareness continues to outweigh penetration thus far, while partners remain optimistic on Copilot momentum longer-term given subscription upgrades, security advantages within the Microsoft stack and recent product enhancements across the Agentic product stack (i.e., Agent365).

Supply Side Remains the Bottleneck, Though AI Server Rack Output and AI Capacity is Improving. Our Greater China Semiconductors/Hardware teams (led by Charlie Chan / Sharon Shih) expect AI semi strength to continue going forward, with GB200/300 NVL72 rack shipments increasing throughout C1Q, as total GB200/300 rack output reached an estimated ~20.8k, up from 15.5k in 4Q, with further growth expected to 24.4k in 2Q (see [Exhibit 16](#) & [Exhibit 17](#)). Given consistently increasing AI demand trends, Microsoft likely still faces supply constraints this quarter, which aligns with management's latest comments during the FQ2 call: 'As we work to close the gap between demand and supply, we expect the mix of short-lived assets to remain similar to Q2 [at roughly two-thirds of total capex].' Management has also previously noted that the investments in short-lived assets is correlated to the company's ~\$625bn in RPO, which grew 110% YoY in FQ2 – implying that compute capacity will continue to expand rapidly, but likely remain tight based on supply / hardware deployments.

Consensus Azure growth expectations call for 39.5% YoY growth (as reported; per

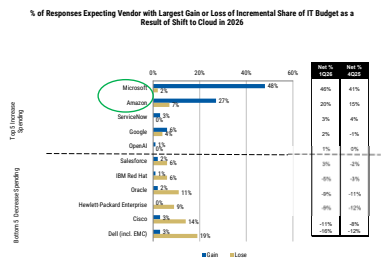
guidance given 2pts FX impact), which implies ~\$1.7bn in QoQ dollars added or ~54% YoY growth in QoQ dollars added. **In terms of the expected beat factor for Azure revenue growth**, which we see as closer to 1pt above the high-end of the CC guidance (37-38% cc guide) this quarter vs. ~2-3pts in the prior few quarters – a few items to keep in mind: **1) Surplus demand signals do not determine expected Azure growth**, as management reiterated during the F2Q26 call that realized Azure revenue is ultimately constrained by available capacity rather than demand, despite continued strength across both core Azure and Azure AI. More importantly, as CFO Amy Hood emphasized on the F2Q26 earnings call, *'it's probably better to think about the Azure guidance that we give as an allocated capacity guide about what we can deliver in Azure revenue. Because as we spend the capital and put GPUs specifically, it applies to CPUs, but GPUs more specifically, we're really making long-term decisions.'* Further, the *'timing of capacity delivery and when it comes online'* remains the primary driver of visibility at the time of management providing guidance, with variability in data center buildouts, GPU cluster deployments, and the ramp of newly installed capacity (which does not monetize immediately) all influencing in-quarter performance. **2) Available capacity must be allocated across not just external Azure workloads but also first-party applications (e.g., Copilot, M365, etc.) and internal R&D/model training needs**, creating competition for constrained infrastructure and limiting how much incremental capacity can support Azure revenue in any given period. **3) The increasing mix of Azure AI workloads introduces variability in monetization and reported growth**, given differences in consumption patterns, ramp timing, and the uneven scaling of large AI deployments. Lastly, as mentioned, tougher YoY compares following several quarters of outsized AI-driven upside could further compress the magnitude of potential beats. **In terms of Azure AI in F3Q26**, we expect ~18% QoQ growth vs. an estimated 18% in F2Q26 and 23% QoQ in F1Q25. This implies ~\$1,030M QoQ dollars added (vs ~\$875M in F2Q) and ~18pts of contribution from Azure AI growth in F3Q (see [Exhibit 1](#)), largely inline with the estimated contribution in the prior two quarters.

Exhibit 1: Improving Azure AI Demand/Capacity and Relatively Stable Core Azure Growth Should Support High 30s % Azure Growth in F3Q



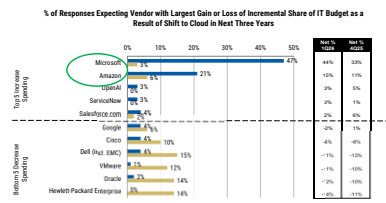
Source: Company data, Morgan Stanley Research

Exhibit 2: Microsoft and Amazon Continue to Lead as the Top Incremental Share Gainers due to Cloud Shift in 2026...



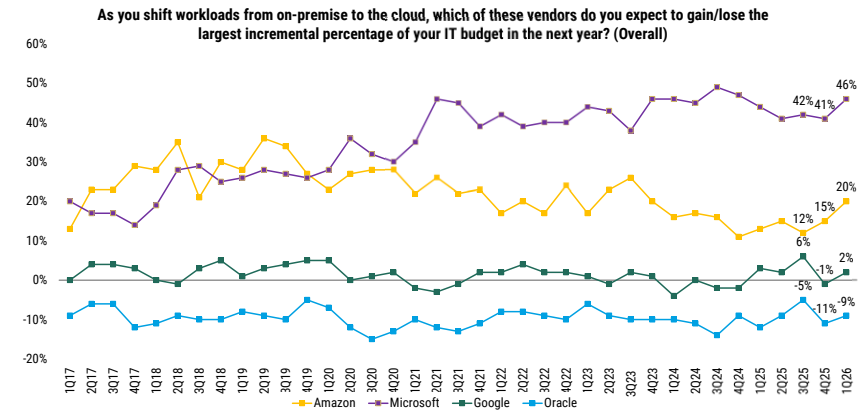
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 3: ...And in the Next Three Years



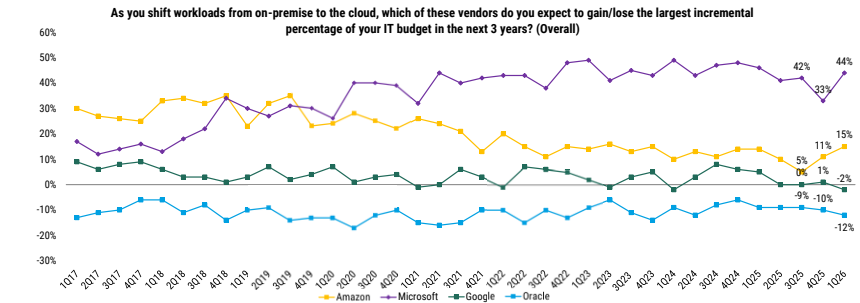
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 4: Microsoft Sustains 46% of Market Share in the Next Year, While Oracle Continues to Lose Share as Workloads Shift to the Cloud



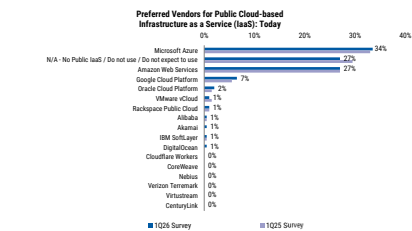
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 5: Over the Next Three Years, Microsoft is Expected to Continue Dominating Share, While Oracle Continues to Lose Share as Workloads Shift to the Cloud



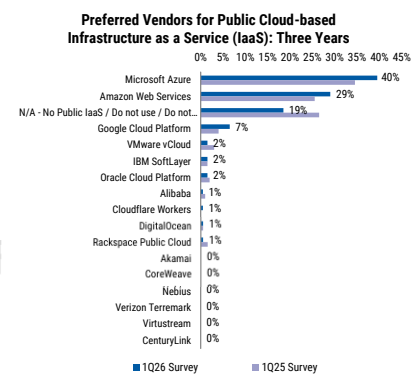
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 6: Microsoft Azure Continues To Be The Market Leading IaaS Today, Followed by AWS and GCP...



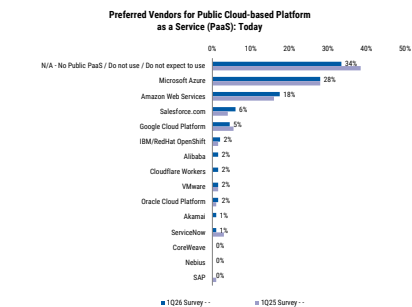
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data).

Exhibit 7: ...A Trend Which Is Expected To Persist In 3 years



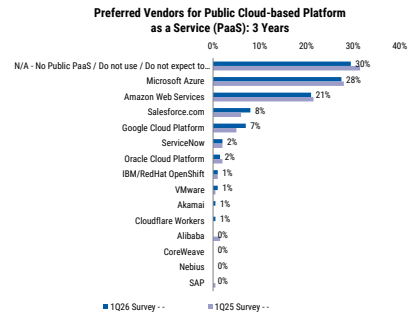
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data).

Exhibit 8: Microsoft Azure, AWS, and Salesforce Are The Preferred Vendor For PaaS...



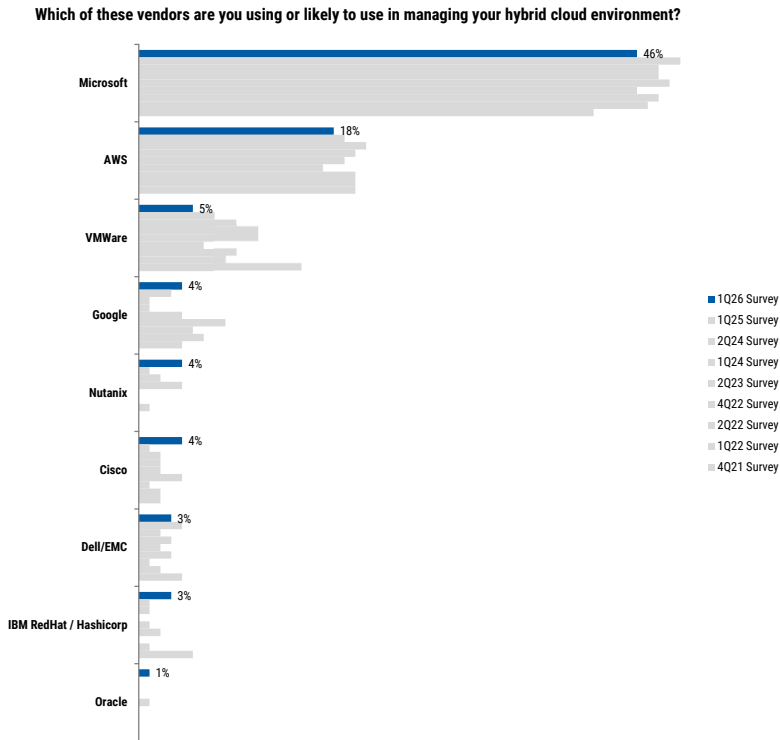
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 9: ...A Trend Which Is Expected To Persist In 3 years



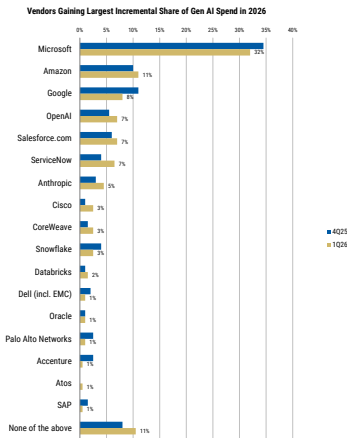
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data).

Exhibit 10: Microsoft Remains the Preferred Vendor for Managing Hybrid Cloud Environments, Followed by AWS and VMWare



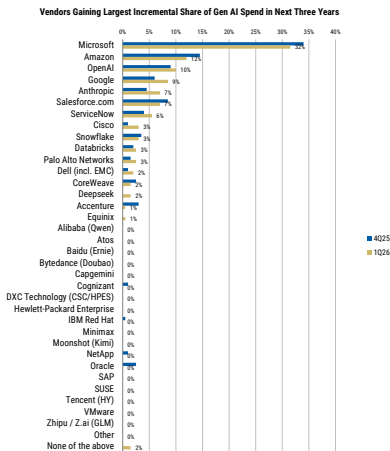
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 11: CIOs Indicate Expectations for Microsoft, Google, and Amazon to Gain the Largest Incremental Share of GenAI Spend In 2026...



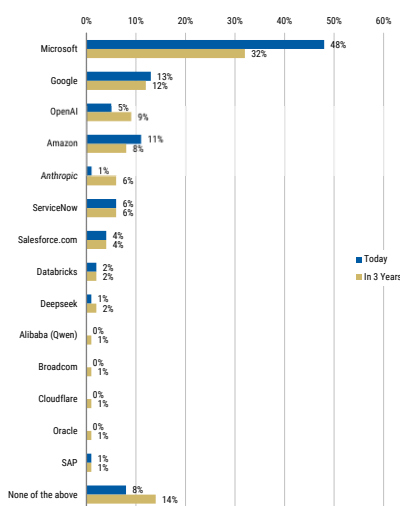
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 12: ...With Microsoft Remaining the Leading Share Gainer Over the Next Three Years.



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 14: CIOs Indicate Strong Preference To Leverage Microsoft for Building Customer AI Applications Today and 3 Years Out



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

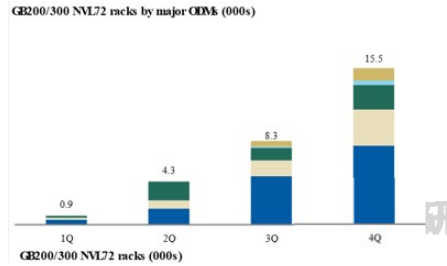
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Stacked bar chart showing GB200/300 NVL72 racks by major ODMs (000s) from Jan to Mar. The chart shows a steady increase in total racks over time, with Hon Hai being the largest contributor throughout the period.

Month	Hon Hai	Quanta	Wistron	Wiwynn	Others	Total
Jan	0.1	0.0	0.0	0.0	0.0	0.1
Feb	0.3	0.0	0.0	0.0	0.0	0.3
Mar	0.5	0.0	0.0	0.0	0.0	0.5
Apr	0.7	0.0	0.0	0.0	0.0	0.7
May	1.8	0.0	0.0	0.0	0.0	1.8
Jun	1.8	0.0	0.0	0.0	0.0	1.8
Jul	1.7	0.0	0.0	0.0	0.0	1.7
Aug	2.4	0.0	0.0	0.0	0.0	2.4
Sep	4.2	0.0	0.0	0.0	0.0	4.2
Oct	4.2	0.0	0.0	0.0	0.0	4.2
Nov	5.4	0.0	0.0	0.0	0.0	5.4
Dec	5.9	0.0	0.0	0.0	0.0	5.9
Jan	5.9	0.0	0.0	0.0	0.0	5.9
Feb	6.4	0.0	0.0	0.0	0.0	6.4
Mar	8.5	0.0	0.0	0.0	0.0	8.5

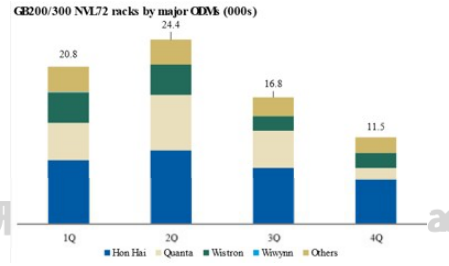
Source: Morgan Stanley Research estimates.

Exhibit 16: Industry-wide GB200/300 NVL72-equivalent monthly rack output, by major ODMs (2025)



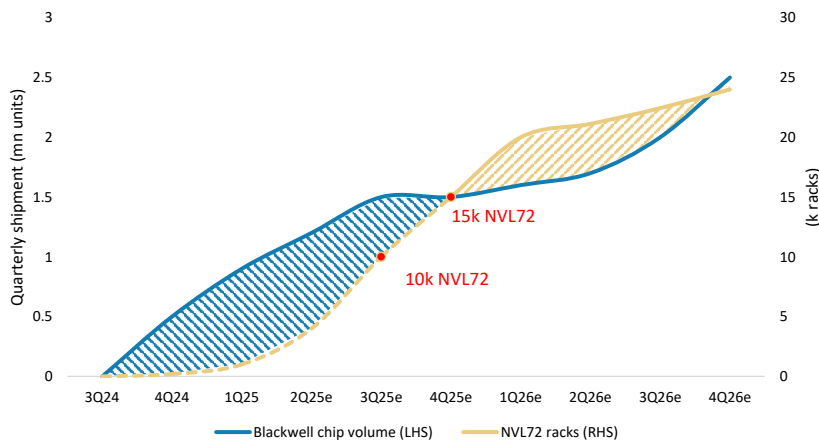
Source: Morgan Stanley Research estimates.

Exhibit 17: Industry-wide GB200/300 NVL72-equivalent monthly rack output, by major ODMs (2026)



Source: Morgan Stanley Research estimates.

Exhibit 18: TSMC is Expected to Produce 5.1mn Chips In 2025, With Full-Year NVL72 Shipments Expected to Reach 30k



Source: Company data, Morgan Stanley Research (e) estimates. Note: Estimates are compiled using our supply chain checks and may differ from other Morgan Stanley Research estimates

2) What is the Latest Capex Trajectory – Does Capex Need to Move Higher?

MS View: Capex Risk Continues to Skew to the Upside, Especially Given Higher Component Costs More Recently

Updating Our Model: Incremental Upside to CapEx from Higher Memory and Component Costs.

On the back of recent increases in key server components, most notably memory (~4x) and server-related hardware (~2x), we have refined our capex forecasts for FY26 and beyond using a more granular, mix-driven approach.

Specifically, we leverage our capex ROI build (see [Exhibit 21](#) - [Exhibit 24](#)), which includes an estimated breakdown of Microsoft's AI data center (GPU-driven) and non-AI cloud (CPU-driven) investments, and apply an estimated % exposure to shorter-lived server-related components. We then layer in memory cost sensitivity by applying a memory share % of COGS and bill of materials (BOM), along with an assumed increase in memory pricing, to arrive at a fully loaded capex impact. As shown in [Exhibit 19](#), we increase our FY26 / FY27 / FY28 / FY29 total capex (including capital leases) estimates by 2.1% / 5.2% / 5.3% / 5.3%, respectively. These revisions reflect our updated assumptions around component cost inflation, applied across both AI and non-AI capex based on our existing mix framework (see [Exhibit](#)

20 for BOM assumptions). Our framework is supported by commentary from CFO Amy Hood on the F2Q26 call: 'We mentioned the potential impact on Windows OEM and on-premises server markets from increased memory pricing earlier. **In addition, rising memory prices would impact capital expenditures**, though the impact on Microsoft Cloud gross margins will build more gradually as these assets depreciate over six years.' Looking ahead, we see potential for further upside to capex, driven by continued supply-demand imbalances and management's expansion plans. CEO Satya Nadella noted on the F1Q26 call an expectation to 'roughly double our total datacenter footprint over the next two years,' reinforcing the likelihood of sustained infrastructure investment.

CFO Amy Hood's capex commentary during the most recent earnings call guided Q3 capex to 'decrease sequentially' (<\$37.5bn in FQ2), due to 'normal variability from cloud infrastructure build-outs and timing of delivery of finance leases.' As management did not comment on FY26 capex during the F2Q26 call after the F1Q26 call when management guided 'the FY 2026 growth rate to be higher than FY 2025,' or >58% YoY growth, we currently model FY26 capex growth (including capital leases) of ~63% YoY to \$143.9bn, roughly inline with consensus' \$144.9bn. Overall, we continue to see potential upside risk to capex. We also expect to hear more about the continued imbalance in demand/supply, inline with comments from the previous two earnings call, which likely continues through CY26. Looking ahead, we currently model moderating low/mid-teens YoY capex growth in FY27/FY28/FY29, supported by persistent demand for compute / AI infrastructure.

Will Management Comment on FY27 Capex Expectations? We Think So, Though Any Color is Likely Limited. Recall that in F3Q25, we only received limited forward looking commentary on capex and capex growth, which was much less than the typical commentary received in Q3. CFO Amy Hood mentioned the following during the F3Q25 call: 'our earlier comments on FY 2026 capital expenditures remain unchanged. **We expect CapEx to grow. It will grow at a lower rate than FY 2025 and will include a greater mix of short-lived assets**, which are more directly correlated to revenue than long-lived assets. These investments, along with focused execution that delivers near-term value to our customers, will ensure we continue to lead through the cloud and AI opportunity ahead.' These initial comments implied moderated FY26 Capex growth of <58% YoY (FY25's Capex growth) – which were subsequently updated during the F1Q26 call with 'the FY 2026 growth rate to be higher than FY 2025.' Overall, expecting limited initially commentary on FY27 capex expectations, with current consensus estimates calling for ~16% YoY growth to ~\$168bn for total capex (including capital leases) in FY27, which implies roughly low-\$40s billion per quarter, though "there can be quarterly spend variability from cloud infrastructure buildouts and the timing of delivery of finance leases."

Our Latest Capex-Implied AI Revenue Analysis: Our assumption for capex has consistently been revised higher. Therefore, we lean on our capex driven forecast model to yield our sustained bullish conclusions about the trajectory of Azure growth, which continues to suggest significant upside to our forward Azure forecasts. Our capex model sizes the implied contribution from Azure AI based on the capital expenditures dedicated to AI-related initiatives. We compare the capex-implied Azure AI forecasts, assuming various gross margin levels, with the Azure AI

estimates in our MS model. Highlighted on the most recent earnings call, and reiterated at our recent campus visit, capex (and corresponding infrastructure) is not just allocated for new Azure demand. Microsoft must support its 1st party applications, internal R&D/Research efforts, internal training, and a replacement capex cycle. Management has also been vocal for some time that a significant portion of capex is for longer duration assets like land and buildings, which could generate revenue for >15 years. We had previously contemplated this split between short-lived and long-lived capex, and already allocated a significant portion of capex to non-AI cloud (i.e. 1st party apps) as well as AI businesses like Copilot (non-Azure AI). **Net**, in our latest analysis, Azure AI (excluding revenue share) gross margins could be 20%+ already. In our latest iteration, we raised our total capex estimates while maintaining prior Azure estimates, which suggests further upside to our current Azure estimates based on our Capex-Implied framework, assuming Azure AI gross margins (ex-revenue share) reach 30% by FY29.

Related Research:

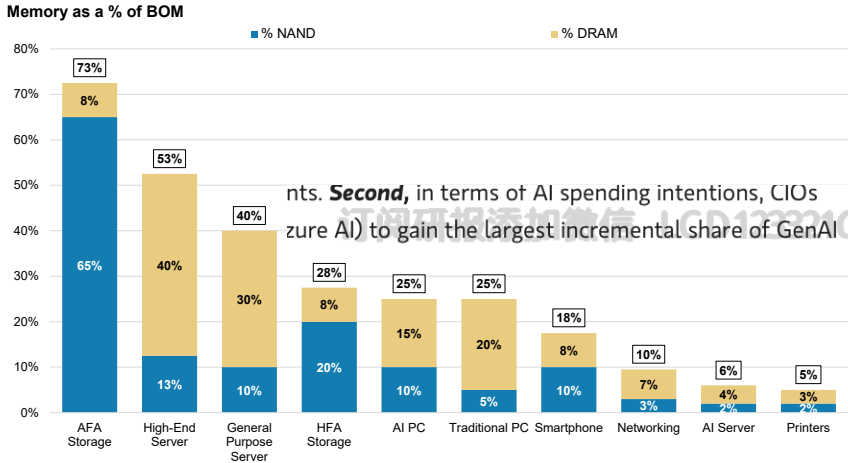
- **Global Technology Hardware: Memory Takes A Bite Out of Hardware Margins (16 Nov 2025)**

Exhibit 19: Summary of Model Changes for Total Capex (Including Capital Leases)

FY26e				
Prior	New MSe	Δ	Cons	MSe vs. Cons
140,965	143,905	2.1%	144,939	-0.7%
FY27e				
Prior	New MSe	Δ	Cons	MSe vs. Cons
160,806	169,240	5.2%	168,035	0.7%
FY28e				
Prior	New MSe	Δ	Cons	MSe vs. Cons
180,192	189,767	5.3%	188,258	0.8%
FY29e				
Prior	New MSe	Δ	Cons	MSe vs. Cons
198,283	208,760	5.3%	198,526	5.2%

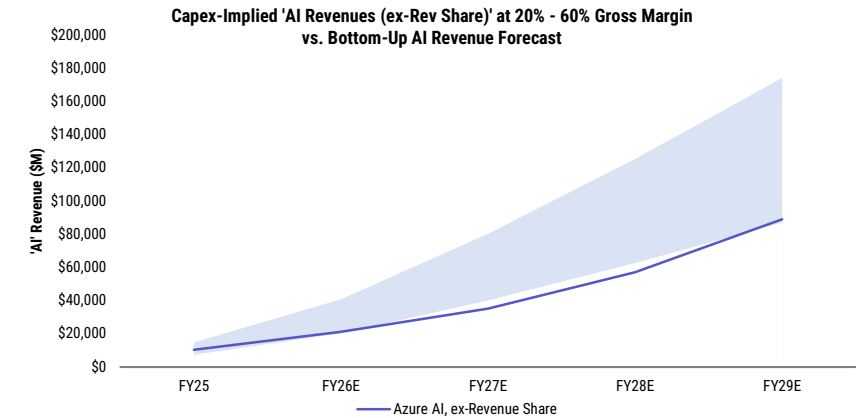
Source: Company Data, Morgan Stanley Research

Exhibit 20: Our Global Technology Hardware Team Estimates that the Memory Accounts for 5-70% of Tech Hardware Products, with Servers and PCs More Exposed to DRAM While Storage is Over-Indexed to NAND



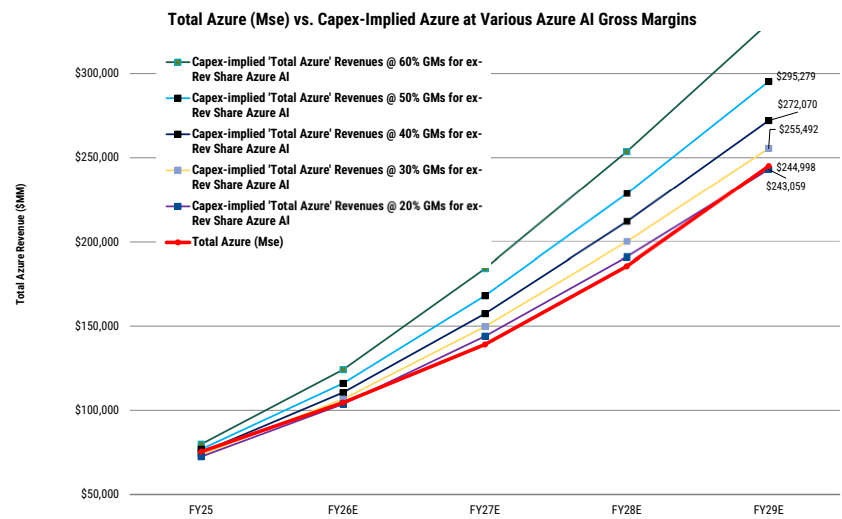
Source: Company Data, Morgan Stanley Research

Exhibit 21: Capex-Implied Azure AI Revenue Potential is Well Ahead of Our Azure AI Forecast



Source: Morgan Stanley Research

Exhibit 22: Current Forecast Estimates Azure AI (ex-rev share) Gross Margins Conservatively Reach 30% by FY29; Gross Margins Can Be Materially Higher, Suggesting Meaningful Upside



Source: Morgan Stanley Research

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Exhibit 23: Back of the Envelope Compute Math Suggests Microsoft AI Server Capex Implies ~54.9 Million H100 Equivalents by FY29

(\$ in Millions)	FY25	FY26E	FY27E	FY28E	FY29E
Total Capex	\$88,200	\$143,905	\$169,240	\$189,767	\$208,760
YoY Growth	58%	63%	18%	12%	10%
Cash Capex	\$64,551	\$98,312	\$116,344	\$130,613	\$143,675
YoY Growth	45%	52%	18%	12%	10%
Non-Cloud Capex	\$4,725	\$6,413	\$7,315	\$8,028	\$8,681
YoY Growth	27%	36%	14%	10%	8%
Data Center Cash Capex	\$59,826	\$91,898	\$109,029	\$122,585	\$134,994
YoY Growth	47%	54%	19%	12%	10%
% of Total Capex	93%	93%	94%	94%	94%
PPE Acquired Under Capital Lease	\$23,649	\$45,593	\$52,896	\$59,153	\$65,085
Capital Lease as % of Cash Capex	40%	50%	49%	48%	48%
Total Data Center Capex	\$83,475	\$137,492	\$161,925	\$181,739	\$200,079
YoY Growth	61%	65%	18%	12%	10%
Total Monetizable Data Center Capex	\$72,963	\$123,895	\$144,265	\$159,287	\$174,458
Total Cloud Capex Intensity	34%	48%	47%	44%	41%
Non-AI Cloud Capex Intensity	14%	13%	13%	12%	12%
M365 Copilot Capex Intensity	47%	42%	37%	33%	29%
Azure AI Capex Intensity	396%	410%	291%	195%	135%
Segment-level Capex					
Non-AI Cloud Capex	\$30,796	\$35,137	\$39,620	\$45,009	\$51,177
Internal AI Training Capex (Non-Monetizable)	\$1,000	\$2,000	\$3,000	\$4,000	\$5,000
Internal R&D/Research Capex (Non-Monetizable) 1.5% of Total Data Center Capex	\$1,252	\$2,062	\$2,429	\$2,726	\$3,001
Replacement Capex (55% of 6yr prior Data Center Capex [Servers] + 45% of 15 year Prior [Building])	\$8,260	\$9,535	\$12,231	\$15,726	\$17,619
Microsoft 'AI Capex' (Monetizable)	\$42,167	\$88,758	\$104,645	\$114,278	\$123,282
M365 Copilot Capex	\$1,054	\$1,676	\$2,376	\$3,027	\$3,514
Azure AI Capex	\$41,113	\$87,082	\$102,269	\$111,251	\$119,767

Note: M365 Copilot capex intensity assumes the intensity is maps to the capex intensity of Microsoft Cloud at similar revenue scales (i.e. FY14-19).

Server-Related AI Capex	\$27,920	\$57,319	\$73,383	\$82,038	\$89,341
Chip Version	H/B100	B1/B200	Rubin	Rubin	Rubin Ultra
Cost per Chip (\$)	\$37,500	\$43,750	\$62,500	\$62,500	\$181,250
Impl. Chips Purchased	744,527	1,310,145	1,174,125	1,312,602	492,918
Ratio of Compute to H100s	1.5x	2.5x	11.0x	11.0x	46.0x
Impl. H100 Equivalents Purchased	1,116,790	3,275,361	12,915,373	14,438,625	22,674,218
Cumulative H100 Equivalents	1,601,778	4,877,139	17,792,512	32,231,138	54,905,355

Note: Grossing up cost per chip to account for "fully-loaded" server cost, which assumes 80% of the server cost is attributable to the cost of the chip.

Microsoft Cloud Revenues, ex-Revenue Share	\$216,375	\$260,604	\$305,175	\$360,569	\$427,086
Non-AI Cloud Revenues	\$203,757	\$235,381	\$263,624	\$294,337	\$326,129
Bottom-Up AI Revenues (Copilots + Azure AI, ex-rev share)	\$12,618	\$25,223	\$41,551	\$66,233	\$100,957
M365 Copilot	\$2,227	\$3,961	\$6,365	\$9,084	\$11,984
Azure AI, ex-Revenue Share	\$10,391	\$21,262	\$35,186	\$57,149	\$88,972
Azure AI, Total	\$12,097	\$25,649	\$44,237	\$73,149	\$113,472
Total Azure (Mse)	\$75,428	\$104,569	\$139,081	\$185,476	\$244,998

Microsoft Cloud Revenue Growth, ex-Rev Share	20%	20%	17%	18%	18%
Non-AI Cloud Revenue Growth	16%	16%	12%	12%	11%
AI Cloud Revenue Growth (Copilots + Azure AI)	170%	100%	65%	59%	52%
M365 Copilot	181%	78%	61%	43%	32%
Azure AI	212%	112%	72%	65%	55%

'Monetizable' Azure AI Capex	\$41,113	\$87,082	\$102,269	\$111,251	\$119,767
Incremental Depreciation Waterfall					
FY23	\$22	\$22	\$22	\$22	\$22
FY24	\$1,965	\$1,965	\$1,965	\$1,965	\$1,965
FY25	\$2,460	\$4,920	\$4,920	\$4,920	\$4,920
FY26		\$5,341	\$10,682	\$10,682	\$10,682
FY27			\$6,477	\$12,954	\$12,954
FY28				\$7,046	\$14,092
FY29					\$7,585
Incremental Depreciation	\$4,447	\$12,248	\$24,066	\$37,589	\$52,220

Note: Assumes capex splits half between infrastructure needs (build and lease data centers) depreciated over 15 years and the remaining half for servers (GPU and CPU) depreciated over 6 years. Further, assumes 50% linearity for Capex in first year.

Source: Morgan Stanley Research

Exhibit 24: More Confidence in Model Conservatism; Material Upside Likely

AZURE AI EX-REV SHARE		FY25	FY26E	FY27E	FY28E	FY29E
Capex-Implied 'Azure AI ex-Revenue Share' Revenues @ 20% GMs		\$7,412	\$20,413	\$40,110	\$62,648	\$87,033
Capex-Implied 'Azure AI ex-Revenue Share' Revenues @ 30% GMs		\$8,471	\$23,329	\$45,840	\$71,598	\$99,467
Capex-Implied 'Azure AI ex-Revenue Share' Revenues @ 40% GMs		\$9,882	\$27,218	\$53,480	\$83,531	\$116,045
Capex-Implied 'Azure AI ex-Revenue Share' Revenues @ 50% GMs		\$11,859	\$32,661	\$64,176	\$100,237	\$139,254
Capex-Implied 'Azure AI ex-Revenue Share' Revenues @ 60% GMs		\$14,823	\$40,827	\$80,220	\$125,296	\$174,067
Note: Assumes depreciation constitutes ~75% of COGS while power, labor, etc. constitute the difference.						
Capex-Implied 'Azure AI ex-Rev Share' Upside @ 20% GMs		-29%	-4%	14%	10%	-2%
Capex-Implied 'Azure AI ex-Rev Share' Upside @ 30% GMs		-18%	10%	30%	25%	12%
Capex-Implied 'Azure AI ex-Rev Share' Upside @ 40% GMs		-5%	28%	52%	46%	30%
Capex-Implied 'Azure AI ex-Rev Share' Upside @ 50% GMs		14%	54%	82%	75%	57%
Capex-Implied 'Azure AI ex-Rev Share' Upside @ 60% GMs		43%	92%	128%	119%	96%

TOTAL AZURE AI (GMS % OF ex-Rev Share)		FY25	FY26E	FY27E	FY28E	FY29E
Capex-Implied 'Total Azure AI' Revenues @ 20% GMs for ex-Rev Share Azure AI		\$9,117	\$24,800	\$49,161	\$78,648	\$111,533
Capex-Implied 'Total Azure AI' Revenues @ 30% GMs for ex-Rev Share Azure AI		\$10,176	\$27,716	\$54,891	\$87,598	\$123,967
Capex-Implied 'Total Azure AI' Revenues @ 40% GMs for ex-Rev Share Azure AI		\$11,588	\$31,605	\$62,531	\$99,531	\$140,545
Capex-Implied 'Total Azure AI' Revenues @ 50% GMs for ex-Rev Share Azure AI		\$13,564	\$37,048	\$73,227	\$116,237	\$163,754
Capex-Implied 'Total Azure AI' Revenues @ 60% GMs for ex-Rev Share Azure AI		\$16,529	\$45,213	\$89,271	\$141,296	\$198,567
Note: Assumes depreciation constitutes ~75% of COGS while power, labor, etc. constitute the difference.						
Capex-Implied 'Total Azure AI' Upside @ 20% GMs		-25%	-3%	11%	8%	-2%
Capex-Implied 'Total Azure AI' Upside @ 30% GMs		-16%	8%	24%	20%	9%
Capex-Implied 'Total Azure AI' Upside @ 40% GMs		-4%	23%	41%	36%	24%
Capex-Implied 'Total Azure AI' Upside @ 50% GMs		12%	44%	66%	59%	44%
Capex-Implied 'Total Azure AI' Upside @ 60% GMs		37%	76%	102%	93%	75%

TOTAL AZURE (GMS % OF ex-Rev Share)		FY25	FY26E	FY27E	FY28E	FY29E
Capex-Implied 'Total Azure' Revenues @ 20% GMs for ex-Rev Share Azure AI		\$72,448	\$103,720	\$144,005	\$190,975	\$243,059
Capex-Implied 'Total Azure' Revenues @ 30% GMs for ex-Rev Share Azure AI		\$73,507	\$106,637	\$149,735	\$199,925	\$255,492
Capex-Implied 'Total Azure' Revenues @ 40% GMs for ex-Rev Share Azure AI		\$74,919	\$110,525	\$157,375	\$211,858	\$272,070
Capex-Implied 'Total Azure' Revenues @ 50% GMs for ex-Rev Share Azure AI		\$76,895	\$115,968	\$168,071	\$228,564	\$295,279
Capex-Implied 'Total Azure' Revenues @ 60% GMs for ex-Rev Share Azure AI		\$79,860	\$124,134	\$184,115	\$253,623	\$330,092
Note: Assumes depreciation constitutes ~75% of COGS while power, labor, etc. constitute the difference.						
Capex-Implied 'Total Azure' Upside @ 20% GMs		-4%	-1%	4%	3%	-1%
Capex-Implied 'Total Azure' Upside @ 30% GMs		-3%	2%	8%	8%	4%
Capex-Implied 'Total Azure' Upside @ 40% GMs		-1%	6%	13%	14%	11%
Capex-Implied 'Total Azure' Upside @ 50% GMs		2%	11%	21%	23%	21%
Capex-Implied 'Total Azure' Upside @ 60% GMs		6%	19%	32%	37%	35%

Source: Morgan Stanley Research

3) A Potential Needle-Mover for M365 Commerical Cloud... Is Copilot Gaining Traction?

Copilot Product & Sentiment Improving. Copilot's increasing emergence as a center piece of Microsoft's AI narrative, follow CFO Amy Hood's comment last quarter on compute capacity allocation toward 'the accelerating pace of M365 Copilot,' as well as the new KPI of 15mn paid seats for M365 Copilot from F2Q26. At the same time, Microsoft's framing around the Copilot opportunity has evolved from a product-led story toward a broader re-architecture of how software is built, used, and monetized. While investor sentiment has remained cautious amid competitive concerns, management's tone during the latest earnings calls and our recent TMT conference have remained more positive: 'we are in the beginning phases of AI diffusion... our TAM will grow substantially across every layer of the tech stack.' In that context, Copilot is not being positioned as a feature cycle, but more as part of a multi-layer platform spanning infrastructure, agents, and applications, with Microsoft explicitly framing this as 'a new app platform... [with] agents as the new apps.' Another key evolution is how Microsoft thinks about TAM expansion and monetization models going forward. Management reiterated traditional seat-based models are evolving toward a hybrid of subscriptions and consumption, reflecting the reality usage is increasingly variable, though this remains early days.

More broadly, at the core of this shift is a fundamental change in what software produces and how work gets done, as AI is driving a step-function increase in artifact creation and workflow velocity. This aligns with the idea that Copilot is increasingly operating as a 'coworker' for off-loading cognitive work and generating outputs across longer-running tasks, not just an assistant. Strategically, Microsoft has been also positioning Copilot as the emerging UI layer for enterprise computing, though with a more nuanced view than a pure 'chat interface.' Management described this as

the long-standing ambition of a universal interface, now enabled by natural language, while acknowledging that multiple form factors will coexist. The implication is that Copilot will function less as a single interface and more as a unifying layer across workflows, embedded directly within high-frequency applications.

What Does the Data Say: How is Copilot Adoption Tracking? From a traction standpoint, the signals are becoming more tangible and measurable, as Microsoft disclosed on the F2Q26 call that M365 Copilot reached 15mn paid seats, with seat adds up over 160% YoY, accelerating seat growth QoQ, and daily active users (DAUs) up 10x YoY. **We view the 15mn paid seat figure as an important KPI going forward – both to gauge monetization and as an indicator of enterprise penetration. As deployment scales across the ~450mn M365 installed base, we would expect this number to continue trending higher and serve as a key Copilot adoption KPI, closely aligned to Copilot's contribution to ARPU expansion over time.** That said, Microsoft has been equally clear adoption is not just about seats but also about usage intensity and system-level integration. As such, Copilot is clearly a meaningful driver of internal resource prioritization, which highlights an important nuance for the Copilot debate – while investors often focus on Azure as the primary monetization vector, management has explicitly been optimizing for a broader portfolio of AI workloads, including Copilot (and other 1P applications). Per our C4Q25 CIO Survey data (see [4Q25 CIO Survey Takeaways – Secular Trends Driving Share Gains \(14 Jan 2026\)](#)), among CIOs who leverage Microsoft, **80% plan to use M365 Copilot in the next twelve months (up from 72% in 2Q25), which marked the fifth consecutive sequential increase of CIOs leveraging Microsoft's M365 Copilot AI capabilities.** Further, the C4Q25 survey pointed to broader adoption of M365 Copilot, as CIOs expected 36% of their organization to use Copilot in the next 12 months (up from 31% in 2Q25 and 17% in 4Q24) and 61% of their organization to leverage Copilot in the next 3 years (a significant increase from 43% in 2Q25 and 38% in 4Q24; see [Exhibit 25](#) - [Exhibit 27](#)).

Can E7 Help Move the M365 Commercial Cloud (and Copilot) Needle Going Forward? While Microsoft has seen strong momentum across the entire platform (not just GenAI) and continues to aggressively integrate AI across its product portfolio, M365 Copilot and E5 upgrades (driven by security) remain the key sources of ARPU growth, with the new Agent 365 another potential growth lever going forward. To that end, we recently met with leaders of Microsoft's security team at the RSA cybersecurity conference (see [Cybersecurity: RSA Conference Recap: Trying to Run as Fast as AI \(27 Mar 2026\)](#)) and came incrementally positive on the company's opportunity in securing the shift to agentic AI, supported by the integrated platform (Defender, Purview, Entra, Sentinel, etc.) and security's role as a key driver of Microsoft 365 upgrades/monetization (and share gains). Our latest CIO survey data and recent channel conversations also point to strong momentum for M365 upgrades. The recently announced E7 SKU (see [The Next Step in Enterprise Agentic AI... Frontier Suite \(9 Mar 2026\)](#)) came up in our latest reseller discussions as an area of incremental interest for customers throughout CQ1, with the inclusion of the full Microsoft Entra Suite a potential needle-mover for some customers given incremental zero trust capabilities (namely identity and network access solutions) on top of the Entra ID P2 capabilities included in E5. Partners noted some pockets of

improving Copilot adoption, though Copilot awareness continues to outweigh penetration thus far, while partners remain optimistic on Copilot momentum longer-term given subscription upgrades, security advantages within the Microsoft stack and recent product enhancements across the Agentic product stack (i.e., Agent365). **Importantly, we see the bundling of these capabilities within E7, particularly identity, security, and agentic workflows, as a potential catalyst to drive more standardized Copilot deployments, helping convert awareness into incremental usage and supporting Copilot adoption as a core feature within the broader E7 value proposition.**

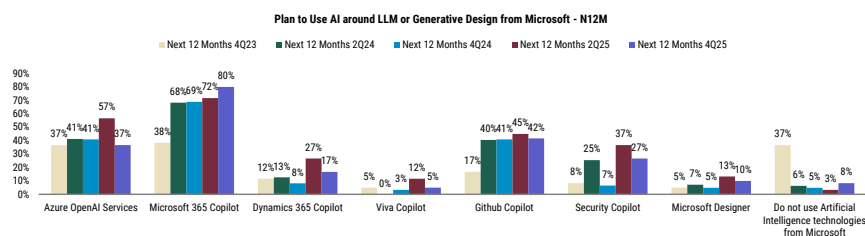
Altogether, Copilot is transitioning from an early adoption story to a more credible platform driver (though still early days), supported by improving seat growth, rising usage intensity, and deeper workflow integration. While the technology/experience remains early innings (but improving) and the ROI debate persists, management's latest commentary suggests increasing confidence that Copilot, particularly as agentic capabilities mature, will become a central layer in enterprise software.

Related Research:

- **Microsoft: 4Q25 CIO Survey Takeaways – Secular Trends Driving Share Gains (14 Jan 2026)**

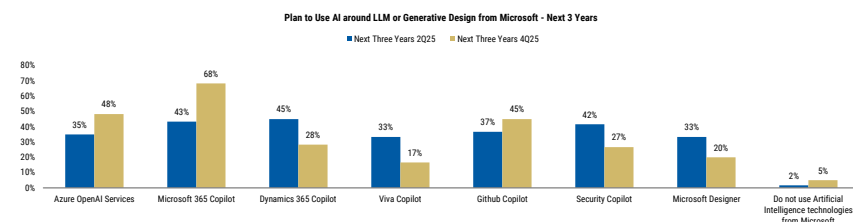
Which of the following products incorporating Generative Artificial Intelligence technology around Large Language Models (e.g. GPT 5) or Generative Design (e.g. Dall-e) do you plan to use from Microsoft in your organization in the next 12 months? Which solutions do you expect to use within the next three years?

Exhibit 25: 92% of CIOs Expect to Use Microsoft Generative AI Products Over the Next 12 Months



Source: AlphaWise, Morgan Stanley Research, n=60 (US and EU data)

Exhibit 26: CIOs Plan to Increase Uptake of Microsoft's AI Products Within the Next 3 Years

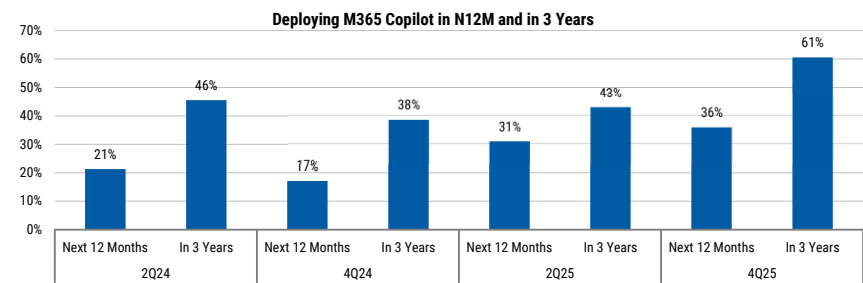


Source: AlphaWise, Morgan Stanley Research, n=60 (US and EU data)

If you are planning to use Microsoft 365 Copilot within your organization, what % of

your Office user base do you expect to deploy M365 Copilot to over the next 12 months and in 3 years?

Exhibit 27: Of the CIOs in Our Survey Planning to Use M365 Copilot Across Their Organization, CIOs Expect 36% Penetration over the Next 12 Months, Increasing to 61% Penetration Over the Next 3 Years



Source: AlphaWise, Morgan Stanley Research, n=60 (US and EU data)

4) Latest Views on PC / Device Market – More Personal Computing (MPC) Under the Microscope

PC / OEM Read-Through: Better Near-Term Shipments, But Management

Commentary Reinforces a More Temporary Benefit. Per our US IT Hardware team (led by Erik Woodring), preliminary IDC data showed C1Q26 PC shipments of 63.6M units (+2.5% Y/Y), ~13% above their estimates, driven by a mix of Windows 11 refresh activity, new product cycles, and demand pull-forward ahead of anticipated component price increases (see [IT Hardware: A Better Than Feared 1Q PC Shipments, But A Concerning Trend \(8 Apr 2026\)](#)). While the headline numbers were better than feared, the underlying setup still looks more tactical than structural, in our view, particularly when framed against Microsoft management's commentary over the last two earnings calls. In F1Q26, management described Windows OEM and Devices as having benefited from *'strong demand ahead of Windows 10 end of support as well as a benefit from inventory levels that remained elevated,'* and then guided F2Q Windows OEM to decline low- to mid-single digits as those inventory levels normalize through the quarter. In F2Q26, management again pointed to Windows OEM strength being supported by *'a continued benefit from Windows 10 end of support,'* while also explicitly calling out elevated *'purchasing ahead of memory price increases,'* while guiding F3Q Windows OEM down roughly 10% *'as the benefit from Windows 10 end of support normalizes and as elevated inventory levels come down through the quarter.'* Taken together, that commentary is consistent with the IDC data showing a quarter of shipments helped by refresh timing, inventory support, and pricing-related pull-forward, rather than a sustained improvement in end demand. Importantly, both the supply chain and management point to a similar conclusion: demand remains intact, but near-term shipments are being distorted by supply constraints, pricing dynamics, and inventory positioning rather than reflecting a clean inflection in end-demand.

Looking ahead, our US IT Hardware team continues to see a more challenging PC backdrop, with Microsoft's commentary broadly consistent with this more cautious view. IDC highlighted demand pull-forward tied to future component pricing, and the gap between PC shipments and ODM builds widened to its highest level in over

a decade, suggesting channel/timing distortion rather than a clean recovery in underlying demand. That lines up closely with Microsoft's own framing over the last two quarters: first, the OEM strength was aided by elevated inventory and Windows 10 end of support – and second, the forward outlook remains unusually wide because of normalization in both inventory and the refresh cycle, alongside potential volatility from higher memory prices. As a result, while the better-than-expected C1Q shipment data should be a modest near-term positive for Microsoft's Windows OEM business, we do not think it changes the broader setup. In particular, PC demand still looks increasingly front-loaded, and the benefit to OEM revenues may fade as the calendar year progresses.

What Does This Mean for Our Microsoft MPC Estimates? Incorporating these dynamics, we are lowering our F4Q26 (C2Q26) More Personal Computing estimates by 0.2% / 2.9% / 2.0% / 2.0% for FY26 / FY27 / FY28 / FY29, respectively, primarily reflecting normalization in the PC supply chain following the pull-forward of demand into C1Q. *In particular, we are aligning our model more closely with our IT Hardware team's expectation for CY26 PC shipments to decline ~16% Y/Y, which implies a weaker unit backdrop and lower Windows OEM / Devices revenue trajectory for Microsoft than we had previously embedded. While CQ1 shipments came in better than expected with unit growth of +2.5% YoY, growth still decelerated meaningfully (~8pts vs. C4Q25 and ~4pts vs. C1Q25, which itself lapped an easier prior-year compare), reinforcing a weaker underlying demand environment despite the near-term pull-forward.* Both ODM/OEM data and Microsoft's guidance point to a sub-seasonal build environment and declining Windows OEM revenue as elevated inventory unwinds, suggesting a softer revenue profile than previously modeled. While we continue to view longer-term demand as stable overall, we are also moderating our out year assumptions, which were slightly too high in our view (and above consensus), to better reflect a more normalized PC growth trajectory going forward following the recent pull-forward and ongoing supply-side volatility. In addition, we are modestly lowering our Gaming revenue assumptions, reflecting recent management commentary pointing to softer-than-expected first-party content performance and more volatile near-term engagement trends, with revenue declines driven in part by tougher prior-year compares and fairly uneven content cadence. As a result, we now expect a more tempered recovery profile for MPC revenue, with slightly weaker near-term trends flowing through into a lower base for subsequent periods. That said, we continue to see support from structural drivers longer-term, including the Windows 10 end-of-support cycle and increasing premium / AI PC mix, though we now embed a more tempered view between these tailwinds and cyclical normalization.

Related Research:

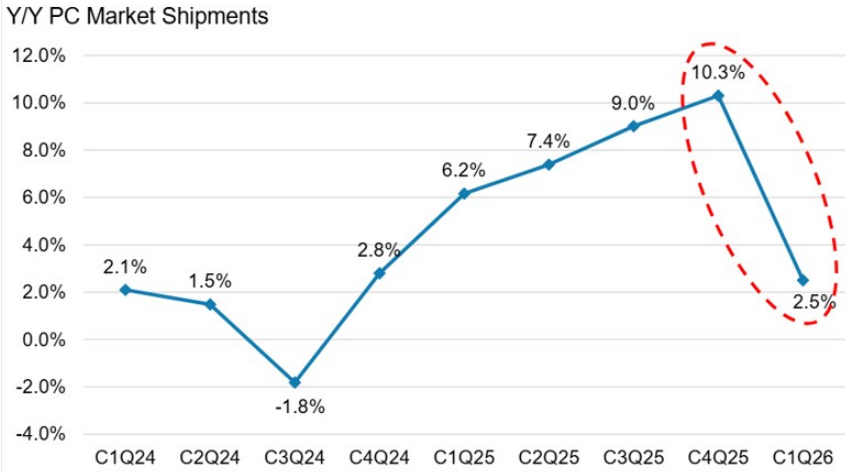
- **Greater China Technology Hardware: Monthly Databook: 1Q shipments 11% above our estimate; we raise 2Q26e NB builds 7% (14 Apr 2026)**
- **IT Hardware: A Better Than Feared 1Q PC Shipments, But A Concerning Trend (8 Apr 2026)**

Exhibit 28: Summary of Model Changes – More Personal Computing Revenue Estimates

(US\$ in Millions)	FY26	FY27	FY28	FY29
Windows OEM and Devices Revenue				
Prior MSe	\$16,771	\$18,196	\$18,470	\$18,806
Current MSe	\$16,540	\$16,991	\$17,571	\$17,887
% change	-1.4%	-6.6%	-4.9%	-4.9%
Gaming (Hardware, Xbox Live, Video Games, 3rd Party Royalties)				
Prior MSe	\$22,412	\$23,182	\$23,320	\$23,463
Current MSe	\$22,412	\$22,706	\$23,034	\$23,174
% change	0.0%	-2.1%	-1.2%	-1.2%
Total More Personal Computing (MPC) Revenue				
Prior MSe	\$54,256	\$57,552	\$58,745	\$60,046
Current MSe	\$54,137	\$55,869	\$57,561	\$58,838
% change	-0.2%	-2.9%	-2.0%	-2.0%
YoY	-0.9%	3.2%	3.0%	2.2%
Consensus MPC Revenue				
	54,165	55,354	56,842	58,703
MSe Current vs. Cons	-0.1%	0.9%	1.3%	0.2%
YoY	-0.9%	2.2%		

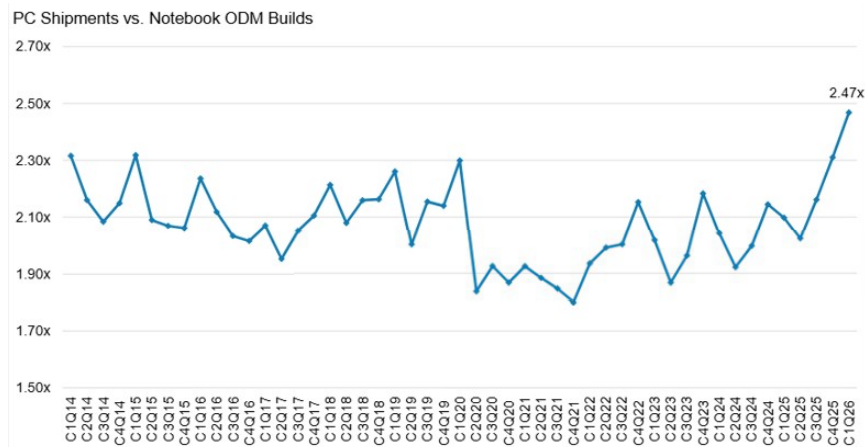
Source: Company Data, Morgan Stanley Research

Exhibit 29: C1Q26 PC shipment growth decelerated ~8 points vs. C4Q25, to +2.5% Y/Y



Source: IDC, Morgan Stanley Research

Exhibit 30: The gap between Y/Y notebook ODM builds and PC shipments is at the widest point in 12+ years as of C1Q26



Source: IDC, Company Data, Morgan Stanley Research

5) Margin Dynamics: What Impacts the Bottom-line From Here?

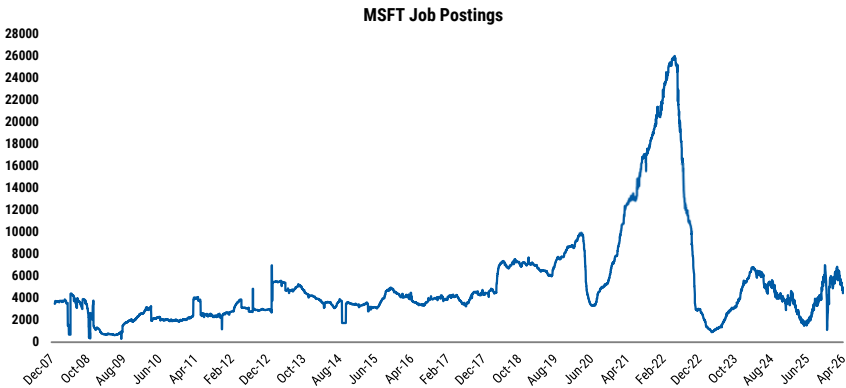
MS View: Gross Margin Pressures From Infrastructure Build-outs and Component Prices Can Continue to be Offset by Low Opex Growth

Gross Margins Moving Lower... Consensus looks for gross margins of 67.8%/66.9% in FY26/FY27, down from 68.8% in FY25, largely due to increasing data center capacity coming online while Azure AI and Copilot revenue continues to scale. On the back of our aforementioned higher capex estimates, we lower our gross margin estimates (see [Exhibit 36](#)) due to higher data center components costs (and higher associated depreciation/amortization over time), with our model now conservatively assuming total company gross margin compression to 67.6%/66.7% in FY26/FY27, with roughly mid-teens COGS growth in each year. Management mentioned during the F2Q26 call that Cloud gross margins were slightly better than expected at 67% as *'continued investments in AI that were partially offset by ongoing efficiency gains,'* though guided F3Q26 Microsoft Cloud gross margin to be ~65%, down YoY, driven by *'continued investments in AI.'*

On the operating margin side of the equation, despite our expectation for further gross margin compression, we expect that operating expense discipline can offset higher COGs, which could drive operating margin expansion and upside. Our current model assumes 7.6% / 7.5% / 12.4% operating expense growth in FY26 / FY27 / FY28, which is backed by headcount growth having remained largely stable and our job posting tracker not picking up any signs of a material rebound in hiring. During F2Q26 earnings, CFO Amy Hood also guided F3Q *operating margins should be down slightly year-over-year.* Net, our expectation is that Microsoft can deliver operating margin of 46.2% in FY26, slightly above FY25's 45.6%, followed by 46.6%/46.8% in operating margins in FY27/FY28, driving GAAP EPS growth of 26.0%/12.4%/17.8% over the same period. **Related, as previously noted** (see [2Q26 Preview – Expecting Two Steps Forward \(23 Jan 2026\)](#)), **the shape of Microsoft's GAAP EPS growth is largely impacted by the other income loss related to the accounting for Microsoft's OpenAI investment, driving last quarter's introduction of Non-GAAP EPS (ex-OpenAI loss impacts), which will likely be provided consistently going**

forward.

Exhibit 31: Official Job Openings at Microsoft Increased Slightly Throughout FQ3, Yet Remain Well Below COVID Highs



Source: Company data, Morgan Stanley Research

FX – What Are the Impacts of the Stronger Dollar?

Post guidance, the USD strengthened against several major currencies. Since F2Q, the dollar strength has created a 10bps FX tailwind for F3Q on a year-over-year basis, down from 50bps FX tailwind at the time of guidance, though should result in limited potential impact to our estimates compared to the time of guidance. Our FX tailwind estimates come in slightly below Microsoft's expectations for a 2pt benefit in F3Q as mentioned during the F2Q call: *'Based on current rates, we expect FX to increase total revenue growth by 3 points.'*

Exhibit 32: Dollar Strengthening Drives 10bps of Incremental F3Q FX Tailwind

Impact to Revenue YoY - CURRENT							Total
Quarter Ending	MSFT FY	EUR	YEN	GBP	CAD	AUD	
3/31/2026	3Q26	0.1%	-0.4%	0.1%	0.0%	0.3%	0.1%
6/3/2026	4Q26	0.0%	-0.3%	0.0%	0.0%	0.2%	0.0%
9/30/2026	1Q27	0.0%	-0.3%	0.0%	0.0%	0.2%	-0.1%
12/31/2026	2Q27	0.0%	-0.1%	0.1%	0.0%	0.2%	0.2%

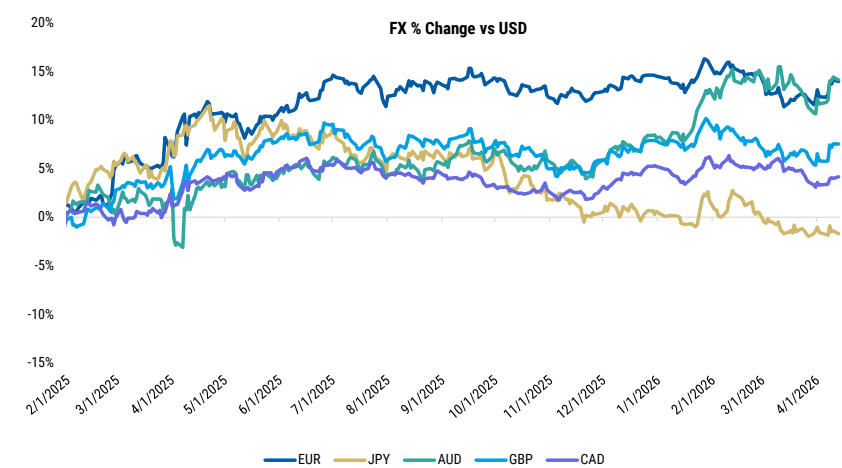
Impact to Revenue YoY - AT GUIDANCE							Total
Quarter Ending	MSFT FY	EUR	YEN	GBP	CAD	AUD	
3/31/2026	3Q26	0.2%	-0.1%	0.3%	0.0%	0.2%	0.5%
6/3/2026	4Q26	0.2%	-0.3%	0.3%	0.0%	0.1%	0.3%
9/30/2026	1Q27	0.2%	0.0%	0.3%	0.0%	0.1%	0.5%
12/31/2026	2Q27	0.1%	-0.2%	0.2%	0.0%	0.0%	0.1%

Quarter Ending	MSFT FY	Change Since Guidance
3/31/2026	3Q26	-0.5%
6/3/2026	4Q26	-0.3%
9/30/2026	1Q27	-0.7%
12/31/2026	2Q27	0.1%

Source:

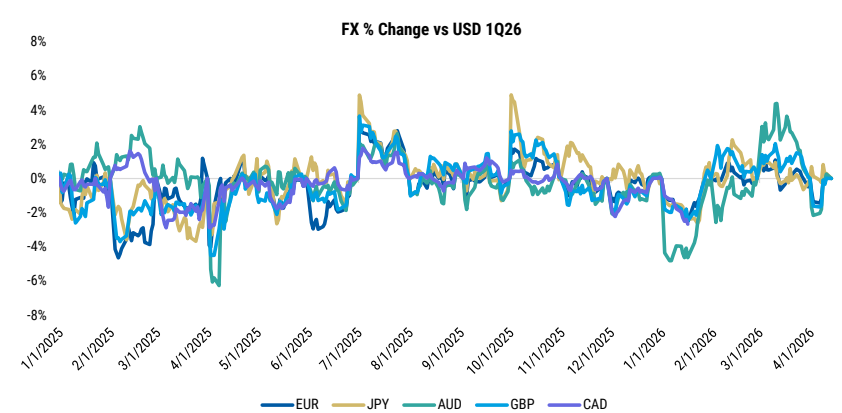
Refinitiv, Morgan Stanley Research

Exhibit 33: Major Foreign Currencies Have Weakened Modestly Against USD In Recent Months...



Source: Refinitiv, Morgan Stanley Research

Exhibit 34: ... But Held Largely Steady Through CQ1



Source: Refinitiv, Morgan Stanley Research

Exhibit 35: Morgan Stanley Forecasts Relatively In-line with Consensus in 3Q26 / FY26

Fiscal Year	3Q26e			4Q26e			FY26e			FY27e		
MSFT	MS	Consensus	MS v Cons	MS	Consensus	MS v Cons	MS	Consensus	MS v Cons	MS	Consensus	MS v Cons
Total Revenue	\$81,436	\$81,415	0.0%	\$86,225	\$87,856	0.4%	\$328,608	\$328,242	0.1%	\$377,543	\$379,975	-0.6%
YoY Growth	16.2%	16.2%		15.4%	14.9%		16.6%	16.5%		14.9%	15.8%	
cc Growth	16.2%	13.4%		15.4%	14.6%		16.6%	15.1%		14.9%	16.0%	
Gross Margins	67.2%	67.1%	7 bps	66.4%	67.2%	-86 bps	67.6%	67.8%	-21 bps	66.7%	66.9%	-21 bps
Gross Profit	\$54,731	\$54,656		\$58,545	\$59,056		\$222,200	\$222,653		\$251,714	\$254,134	
Opex (implied)	\$17,869	\$17,854		\$19,788	\$19,869		\$70,346	\$70,413		\$75,608	\$78,974	
Operating Income	\$36,862	\$36,843	0.1%	\$38,757	\$39,350	-1.5%	\$151,855	\$152,466	-0.4%	\$176,106	\$175,685	0.2%
Op. Margin	45.3%	45.3%	1 bps	43.9%	44.8%	-86 bps	46.2%	46.4%	-24 bps	46.6%	46.2%	41 bps
cc Implied OM %	46.5%	45.2%	135 bps	43.0%	43.5%	-52 bps	37.7%	37.3%	47 bps			
GAAP EPS	\$4.10	\$4.07	0.7%	\$4.22	\$4.29	-1.6%	\$17.19	\$16.66	3.2%	\$19.32	\$19.08	1.2%

Source: Company data, Morgan Stanley Research, Refinitiv, Visible Alpha

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Exhibit 36: Summary of Model Changes

	FQ1:26	FQ2:26	FQ3:26e	FQ4:26e	FY26e	FY27e	FY28e	FY29e
Total Revenue	\$77.67B	\$81.27B	\$81.44B	\$88.23B	\$328.61B	\$377.54B	\$438.92B	\$512.84B
YoY Change	18.4%	16.7%	16.2%	15.4%	16.6%	14.9%	16.3%	16.8%
Old Total Revenue	\$77.67B	\$81.27B	\$81.44B	\$88.34B	\$328.73B	\$379.25B	\$440.15B	\$514.11B
% Change	0.0%	0.0%	0.0%	-0.1%	0.0%	-0.4%	-0.3%	-0.2%
Total Gross Margin	69.0%	68.0%	67.2%	66.4%	67.6%	66.7%	66.2%	66.3%
Old Gross Margin	69.0%	68.0%	67.2%	66.3%	67.6%	66.9%	66.6%	66.7%
New vs. Old	0.0%	0.0%	0.0%	0.0%	0.0%	-0.2%	-0.4%	-0.4%
Operating Expense	\$15.67B	\$17.02B	\$17.87B	\$19.79B	\$70.35B	\$75.61B	\$84.98B	\$96.09B
YoY Change	4.9%	5.2%	10.7%	9.3%	7.6%	7.5%	12.4%	13.1%
Old Operating Expense	\$15.67B	\$17.02B	\$17.87B	\$19.81B	\$70.37B	\$75.95B	\$85.21B	\$96.33B
% Change	0.0%	0.0%	0.0%	-0.1%	0.0%	-0.4%	-0.3%	-0.2%
Operating Income	\$37.96B	\$38.28B	\$36.86B	\$38.76B	\$151.85B	\$176.11B	\$205.63B	\$243.84B
Operating Margin	48.9%	47.1%	45.3%	43.9%	46.2%	46.6%	46.8%	47.5%
Old Operating Income	\$37.96B	\$38.28B	\$36.86B	\$38.79B	\$151.89B	\$177.73B	\$208.08B	\$246.64B
Old Operating Margin	48.9%	47.1%	45.3%	43.9%	46.2%	46.9%	47.3%	48.0%
% Change in Op. Income	0.0%	0.0%	0.0%	-0.1%	0.0%	-0.9%	-1.2%	-1.1%
EPS	\$3.72	\$5.16	\$4.10	\$4.22	\$17.19	\$19.32	\$22.76	\$27.27
Old EPS	\$3.72	\$5.16	\$4.10	\$4.22	\$17.19	\$19.51	\$23.07	\$27.65
% Change	0.0%	0.0%	0.0%	-0.1%	0.0%	-1.0%	-1.3%	-1.4%
Total FCF	\$25.7B	\$5.9B	\$14.5B	\$28.4B	\$74.5B	\$66.9B	\$87.8B	\$113.7B
YoY Change	33%	-9%	-28%	11%	4%	-10%	31%	29%
Old FCF	\$25.66B	\$5.88B	\$14.54B	\$30.36B	\$76.4B	\$73.1B	\$94.2B	\$121.1B
% Change	0.0%	0.0%	0.0%	-6.5%	-2.6%	-8.5%	-6.8%	-6.1%
Total Capex	\$34.9B	\$37.5B	\$34.0B	\$37.5B	\$143.9B	\$169.2B	\$189.8B	\$208.8B
YoY Change	75%	66%	59%	55%	63%	18%	12%	10%
Old Capex	\$34.90B	\$37.50B	\$34.00B	\$34.57B	\$141.0B	\$160.8B	\$180.2B	\$198.3B
% Change	0.0%	0.0%	0.0%	8.5%	2.1%	5.2%	5.3%	5.3%
Unearned Revenue	\$61.53B	\$54.04B	\$56.54B	\$68.80B	\$68.80B	\$70.38B	\$72.00B	\$73.68B
YoY Change					2%	2%	2%	2%

Source: Company data, Morgan Stanley Research

Preview to earnings

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
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Microsoft MSFT.O

Azure Revenue YoY Growth in CC	↑ Likely upside surprise	↑ Modest revision higher
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*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

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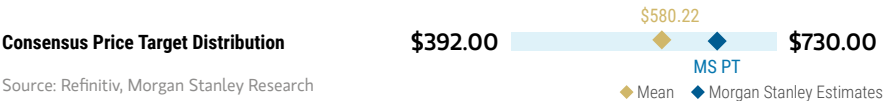
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Risk Reward – Microsoft (MSFT.O)

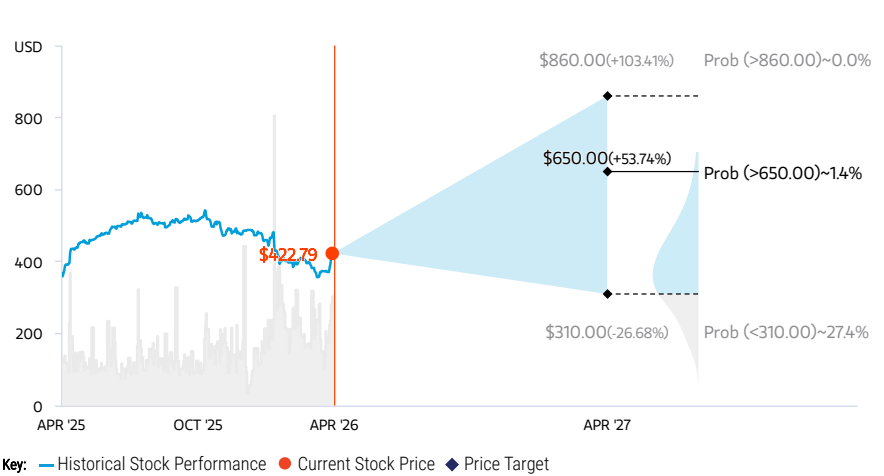
Durability of Earnings Growth & AI Leadership Not Priced-In

PRICE TARGET \$650.00

31x Base Case CY27e EPS of \$20.92. 31x PE is a slight premium to large cap software peers, 1.6x PEG is relatively in line with MSFT historical PEG while a premium to peers, justified by Microsoft's strong positioning and strong execution.



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

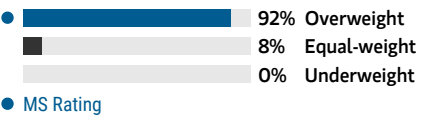


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 17 Apr 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- Strong positioning for public cloud adoption & AI, large distribution channels and installed customer base, and expanding margins supports EPS growth. Weaker cyclical environment improves as cloud optimizations complete - LT trends remain durable.
- Teens revenue growth, opex discipline and strong capital return lead to durable mid- to high-teens total return profile long term.
- At ~31x CY27e GAAP EPS, the durability of Microsoft's earnings growth and the company's premium return profile remains underpriced. Multiple expansion and positive estimate revisions will come from greater than expected strength in commercial businesses including Azure.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

- New Data Era: Positive
Pricing Power: Positive
Secular Growth: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$860.00	BASE CASE	\$650.00	BEAR CASE	\$310.00
~37x Bull Case CY27e EPS: \$23.49					
Azure, O365 & Robust Contribution from AI Drive Top-Line Growth. Acceleration in Azure growth, adoption of higher priced M365 Commercial SKUs and continued seat growth, and robust adoption of Azure AI services and Microsoft AI Copilots across business lines drive mid-teens revenue CAGR in the coming years. Operating margins expand to ~48.7% by CY27 and CY27e EPS is \$23.49. ~37x PE represents a premium to large cap software peers, but roughly inline with Hist Avg PEG at ~1.5x given >20% EPS CAGR.					
~31x Base Case CY27e EPS of \$20.92					
Azure, M365 & Ramping Contribution from AI Drive Top-Line Growth. Durability of Azure growth, adoption of higher priced M365 Commercial SKUs and continued seat growth, and ramping adoption of Azure AI services & Microsoft AI Copilots across business lines drive low-teens rev CAGR ahead. Operating margins expand beyond ~46.7% by CY27 and CY27e EPS is \$20.92. 31x PE is a premium to large cap software peers, given strong positioning and execution. 1.6x PEG is inline with MSFT historical PEG.					
~16x Bear Case CY27e EPS: \$18.93					
Macro, Scale & Limited AI Adoption Drives Top-Line Growth Deceleration. Azure growth continues deceleration given scale, while M365 reaches penetration and adoption of Azure AI services & Microsoft AI Copilots across business lines remains limited. This drives low double-digit rev CAGR. Operating margins only expand to ~44.7% by CY27 from gross margin pressure and CY27e EPS is \$18.93. ~16x PE is a discount to large cap software peers and a discount on a PEG.					

Risk Reward – Microsoft (MSFT.O)

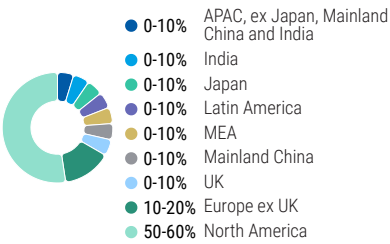
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Azure Revenue Growth (%)	29.7	30.2	26.4	22.4
Server Products On-Prem Growth (%)	(2.0)	(1.0)	(1.0)	(1.0)
Gross Margins (%)	68.8	67.6	66.7	66.2
Operating Margins (%)	45.6	46.2	46.6	46.8
GAAP EPS Growth (%)	15.6	26.0	12.4	17.8

INVESTMENT DRIVERS

- Sustainability of commercial growth, cloud momentum, improving cloud margins
- Improving PC data points

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Cloud adoption accelerates, with Azure as convincing winner
- AI leadership results in substantial revenue contribution over-time
- Operational efficiencies leading to greater than anticipated economies of scale and margin expansion

RISKS TO DOWNSIDE

- Weak macro impacting IT spending
- On-premises cannibalization by Cloud
- Increased investments hurt margin expansion
- AI adoption proves limited

OWNERSHIP POSITIONING

Inst. Owners, % Active	54.4%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	25.2%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jun 2026e

Sales / Revenue (\$, mm)	◆ 328,608
Note: There are not sufficient brokers supplying consensus data for this metric	

EBITDA (\$, mm)	◆ 194,167
Note: There are not sufficient brokers supplying consensus data for this metric	

Net income (\$, mm)	◆ 127,883
Note: There are not sufficient brokers supplying consensus data for this metric	

EPS (\$)	◆ 17.19
Note: There are not sufficient brokers supplying consensus data for this metric	

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

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Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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